

Most power-of-sale listings are not deals. Some are.

There is a lot of noise about buying “below market value.” The law does not really work that way, and most of the listings do not either. Here is what these sales actually are, where the value genuinely hides, and what to check before you write an offer.

Power of sale gets marketed as a discount programme. It is not one. A lender selling under power of sale has a legal duty to act in good faith and take reasonable care to obtain the property’s true market value, so the asking price is usually close to what the market says it is worth *in its current condition*.

That does not mean there is nothing worth buying. It means the value comes from somewhere other than the label on the listing, and that knowing where to look, and what you are giving up in exchange, is the entire game. **No cost, no obligation.**

1 What a power of sale actually is

Before anything else, the basics most listings never explain:

- **The lender is selling, not the owner.** After default and the notice period required under Ontario's *Mortgages Act*, a lender can sell the property to recover what it is owed.
- **The lender has a duty to get fair value.** It must act in good faith and take reasonable care to obtain the true market value. That is precisely why you should be careful with anyone promising you a property below what it is worth.
- **Any surplus goes back to the owner.** The lender recovers what it is owed and its costs. It is not trying to sell cheaply, and it has no incentive to.
- **The former owner may still be in the property.** Possession is not always resolved by the time a property is listed.
- **In most respects it is an ordinary MLS sale.** The real differences are in the paperwork and the disclosure, not the process.

2 Where the value actually comes from

Not from the category. From these:

- **Condition, not label.** A property that needs work is priced for the work *and* for the much smaller pool of buyers willing to take it on. That second discount is the real one.
- **Time on market.** A listing that has sat through two price changes is in a different negotiating position than one that came up on Tuesday.
- **Properties that show badly.** Vacant, empty, dated, ten poor photographs. Retail buyers scroll past. The bricks are unchanged.
- **Carrying pressure on the other side.** Every month a lender holds a property it pays taxes, insurance and interest. That clock is real and it is not yours.
- **Work that is legible and quotable.** When the fix can be priced accurately, it is often cheaper than the discount the market applies to the uncertainty of it.

3 What you do not get

Read this section twice. It is the part nobody volunteers:

- **No seller property information statement.** The lender has never lived there and cannot tell you what is wrong with it. Nobody is going to warn you.
- **No representations or warranties.** The lender's schedule strips them out. You are buying as-is, where-is, including anything you did not find.
- **Chattels may be gone.** Appliances, fixtures, sometimes the furnace, occasionally the copper. What you saw in the photos is not a promise.
- **Occupancy may be unresolved.** You may be buying a property that someone is still living in, and removing them may become your problem and your cost.
- **Arrears can travel with the property.** Property taxes, utilities and condominium common expenses do not always stop at closing.
- **The lender's schedule overrides the standard form.** It will amend or delete clauses in the usual agreement, and it generally will not negotiate them.

4 Six checks before you offer

Do these and most of the bad ones eliminate themselves:

- **Title and execution searches, early.** Not after you are firm. Liens and writs are findable before you commit.
- **Ask about occupancy, in writing.** Get the answer recorded, not mentioned on a call.
- **Get real access to inspect.** Some of these can be properly viewed and some cannot. Which one it is changes what you should pay.
- **Comparables on that street, in that condition.** Not the neighbourhood average, which is how people talk themselves into the wrong number.
- **Price the closing, not just the purchase.** Arrears, discharges and possible legal work if occupancy is contested all land on your side.
- **Confirm your financing against these terms.** The timelines can be tighter and the conditions less flexible than a normal resale.

5 How I represent you

What you actually get when you work with me:

- **I act for you, not the lender.** Buyer representation in writing. My obligation is to your side of the table, and I never take the listing on a property I am helping you buy.
- **Honest numbers before you offer.** What it is worth in the condition it is actually in, what the work will cost, and the number above which you should walk. Agreed before we start, so the decision is made when you are calm rather than in competition.
- **I negotiate hard on the price and the terms.** Every dollar off the purchase price is equity you own from day one. Terms matter as much as price here: deposit structure, access, closing date and which of the lender's clauses can actually be pushed on.
- **A decade in complex Ontario files.** I practised business and real estate law for close to ten years before moving to the sales side. Power of sale, arrears, estates and time-sensitive closings are familiar ground, and the schedules and searches are documents I have worked with from the other chair.
- **I will tell you to walk away.** Often the most valuable thing I do is talk a buyer out of the wrong property. I would rather lose a transaction than put you into one of these badly.

● How I find them

I work directly with a lender that sells power-of-sale properties across the GTA, and I track motivated and long-listed properties daily. That means I am looking at these before they become another listing competing for attention, and I can get to the real condition and the real comparables early.

What that means for you: instead of scrolling for a label, you get a short list of the ones actually worth your time, with the numbers already run and the risks already named. Tell me what you are looking for and what fits comes back within 24 hours.

When it is the right property

Buying one of these well is not about finding a bargain nobody noticed. It is about understanding exactly what you are taking on, pricing it honestly, and then negotiating properly, with someone on your side of the table who has seen how these go wrong.

If you would like to talk any of this through, with no pressure and no obligation, I am glad to help you work out whether a particular property is worth it.



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